

"Today, the size of the SE industry is projected to grow to US\$ 72 billion from the present US\$ 1.7 billion. This indicates immense potential as there exists a significant gap between supply and demand. Though India is considered a software power in this space, we are yet to witness a single Indian company that develops strong end-to-end A&D software solutions. As a result, we keep depending on foreign companies. The only option for Indian electronic component companies is to target the SE industry, and we should act now."

—Dr V.K. Saraswat, member - NITI Aayog, and former chief scientific advisor to Indian minister of defence and director general, DRDO



the earlier 30 per cent to 40 per cent. This will boost local content in procurement and drive a larger Make in India initiative.

It is important to note that, while setting a higher requirement target, DPP has also kept flexible options to increase and decrease indigenisation content for unique procurement cases that need a different indigenisation requirement, depending on the merits of the projects. Considering the ground realities of some critical SE projects, where local capability is a bare minimum, this flexibility in indigenisation requirement would help the industry grow gradually.

Revamped procedures for Make in India projects. DPP 2016 has attempted to simplify the complexities that were leading to ineffectiveness of Make in India procedures (first articulated in 2006 with a view to promoting in-house research, design, development and production of high-technology complex systems by the domestic industry, especially the private sector) by incorporating some changes.

First, structure of Annual Acquisition Plan (AAP), which is a subset of the five-year Services Capital Acquisition Plan (SCAP) and the guiding document for procurement, has been modified to include some Make in India projects that have already been given in-principle approval, or are to be considered for in-principle approval by the higher procurement authorities.

Second, the existing Technology Perspective and Capability Road-

map (TPCR) has been made clearer by requiring it to show the details of the acquisition plans for a period of 15 years, for use by the industry. These two developments on the planning front are likely to lead a greater visibility of Make in India projects and, more importantly, accountability on the part of the procurement authorities.

Apart from this, changes have also been made with respect to the responsibility of SHQs, classification of Make in India sub-categories, funding patterns for prototype development and clarity as to who would be eligible for undertaking Make in India projects.

Institutionalisation of RFI process. Institutionalisation of the request for information (RFI) process under DPP 2016 has increased the number of procurement steps involved in 'Buy' and 'Buy and Make' schemes, but has also made the process more systematic and brought clarity in the procurement procedure in comparison with previous DPPs. This, in turn, will also clarify different aspects such as source of procurement, indigenisation, degree of competition and, more importantly, timeliness of procurement.

Moreover, RFI is now to be formulated by the concerned SHQ in consultation with other relevant stakeholders, including DRDO, DDP and HQ IDS (earlier SHQs were solely responsible for preparing the RFI). This will ensure that views of all stakeholders related to a particular procurement project are incorporated at the proposal stage, rather

than being added at later stages—resulting in unnecessary delays.

Introduction of L1-T1 methodology for selecting final bidder. DPP 2016 has introduced L1-T1 methodology for selecting the supplier of military goods under 'Buy' and 'Buy and Make' schemes. The new methodology ensures that the final bidder is not selected on the basis of price competitiveness only, but by a combination of price and superior technology offered by qualified vendors.

The new methodology is intended to buy equipment with a newly-introduced feature—enhanced performance parameters (EPPs). These are superior to the earlier essential parameters that were to be mandatorily met by all vendors participating in Ministry of Defence tenders, in order to stay in competition.

This process will attract suppliers of superior-quality products, who were earlier reluctant to participate in the bidding process because their products were much superior, and therefore expensive and uncompetitive with respect to the ones fielded by rival bidders with no EPP. Suppliers offering approved EPP will get an additional credit score of a maximum of ten per cent, with each parameter not exceeding a score of three per cent.

However, this new methodology may also have some drawbacks if not implemented properly. First, it may invite more complexity and implementation-related challenges. Besides that, financial implication could be that certain equipment with more features than the minimum inescapable parameters get procured, resulting in extra expenditure to Ministry of Defence for some not-so-critical features that may happen in the form of outflow of funds to the foreign OEMs.

Considering this, it would have been prudent to limit the new methodology for the selection of bids to the local industry only. This